

SECTOR INITIATION REPORT

India Banking Sector

A decade-long crisis became a record-profit cycle. The valuation map hasn't caught up — and now we can say by how much, name by name.

15 BANKS COVERED	16.0% / 13.0% PSU / PRIVATE AVG ROE	0.94x / 1.74x PSU / PRIVATE AVG P/B	3 BUY / 3 SELL EXPLICIT RATINGS	₹1.45L cr SBI'S SUBSIDIARY VALUE
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EXECUTIVE SUMMARY

Indian banking today is, by the numbers, in the best shape it has been in over a decade — and the market still prices it on a decade-old map. This report covers 15 banks (7 private, 8 PSU) across a full Q1 FY27 dataset, builds a Gordon Growth fair-value model to turn that dataset into explicit BUY/HOLD/SELL calls, values the embedded listed-subsidary stakes at the three banks that have them, and only then discusses the sector's history, structure, consolidation and regulatory backdrop that explain why the mispricing exists in the first place.

The headline finding is sharper than a simple 'PSU banks are cheap' observation: across this 15-bank universe, PSU banks post a HIGHER average ROE (16.0%) than private banks (13.0%), while trading at less than half the average book multiple (0.94x vs. 1.74x). Net NPA is statistically comparable between the two groups. Feeding actual, bank-specific ROE into a standard bank valuation framework ($\text{Fair P/B} = (\text{ROE} - g) / (\text{Ke} - g)$) produces three explicit BUY-rated PSU banks (PNB, Bank of Baroda, Canara Bank) and three explicit SELL-rated private banks (HDFC Bank, Axis Bank, Kotak Mahindra Bank) — not because the private franchises are bad businesses, but because their current profitability doesn't support their multiple as cleanly as it used to.

1. INDUSTRY STRUCTURE

India's banking system is built around Scheduled Commercial Banks (SCBs) — roughly 90-plus entities across four tiers: 12 public-sector banks (PSU banks, majority government-owned), 21 private banks, around 44 foreign banks (mostly wholesale/corporate-focused, minimal retail branch presence), and a newer layer of small finance banks (SFBs) and regional rural banks (RRBs) built for financial-inclusion mandates.

PSU banks still hold roughly 55-60% of system deposits — a legacy of decades of branch density, government salary accounts, and pension business — even as private banks have taken share of incremental credit growth. System-wide credit growth has moderated to roughly 11-13% in FY26 from the mid-teens pace of FY23-24, while deposit growth has persistently lagged in the high single digits to ~10%. That credit-deposit gap is the direct cause of the NIM compression every bank in this report reported in Q1 FY27.

2. THE CREDIT CYCLE: FROM CRISIS TO RECORD PROFITABILITY

Period	Event	Why It Mattered
2015-16	RBI's Asset Quality Review (AQR)	Forced banks to recognize NPAs they had been rolling over — system GNPA roughly doubled on paper almost overnight.
2016	Insolvency and Bankruptcy Code (IBC) enacted	Gave lenders a real, time-bound legal resolution mechanism for stressed corporates.
FY18	System GNPA peaks at ~11-12%	The trough — the 'twin balance sheet problem' at its worst.
2017-2021	11 PSU banks placed under RBI's Prompt Corrective Action (PCA)	Restricted lending/dividends at the weakest PSU banks until recovery — a supervised turnaround program.
2019-2020	Recapitalization + mega-mergers (27→12 PSU banks)	Rebuilt capital and consolidated the landscape into fewer, larger entities.
FY23-26	System GNPA falls to multi-decade lows (SBI: 1.47%)	The cleanup is essentially complete: high provisioning, comfortable capital, record profitability.

3. CONSOLIDATION & REGULATORY WATCH

PSU Consolidation: 27 Banks Become 12

SBI absorbed 5 associate banks + Bharatiya Mahila Bank (2017); Bank of Baroda absorbed Vijaya Bank and Dena Bank (2019); and in April 2020 alone, four mega-mergers created today's map — PNB absorbing Oriental Bank of Commerce and United Bank of India, Canara Bank absorbing Syndicate Bank, Union Bank absorbing Andhra Bank and Corporation Bank, and Indian Bank absorbing Allahabad Bank. Market chatter through 2026 points to a possible next wave targeting 6-7 PSU banks eventually — UCO Bank, Bank of India, Indian Overseas Bank, Central Bank of India, Bank of Maharashtra and Punjab & Sind Bank are the names most often cited. Three of this report's covered names (UCO Bank, Bank of India, and to a lesser degree Indian Bank) sit inside that speculative zone — a real catalyst that a static Gordon Growth model doesn't capture.

The HDFC Bank-HDFC Ltd Merger: Still Working Through the System

HDFC Bank's reverse merger with mortgage lender HDFC Ltd (completed July 2023) added a large, low-yielding mortgage book funded without a matching deposit franchise, pushing loan-to-deposit ratio above 100% and diluting HDFC Bank's best-in-class CASA ratio. The bank has spent FY24-26 deliberately growing deposits faster than loans to rebalance — directly relevant to why this report's Valuation Engine flags HDFC Bank as a SELL on current ROE: the merger is still diluting return ratios even as the underlying franchise remains excellent.

Regulatory Watch

RBI's November 2023 decision to raise risk weights by 25 percentage points on unsecured consumer credit and bank lending to NBFCs cooled a fast-growing, high-margin segment almost overnight — IndusInd Bank's still-elevated 3.25% GNPA in this dataset is a partial echo of that period. Separately, RBI's phased transition toward Expected Credit Loss (ECL) provisioning (replacing the current incurred-loss approach) will likely require higher day-one provisioning at some banks — a live, not-yet-fully-priced risk, concentrated most at the thinner-capitalized names in this dataset (UCO Bank, Bank of India).

UPI's Scale — and Its One Real Catch

UPI processed 24,162 crore transactions worth ~₹314 lakh crore in FY2025-26, up from 2 crore transactions a decade earlier — a genuinely world-leading digital-payments infrastructure. But it carries zero merchant discount rate on most volume, so it has scaled financial inclusion without a matching fee-income stream for banks, who function mostly as settlement rails behind PhonePe, Google Pay and Paytm (~88-93% of volume). This is a structural reason Indian banks lean on credit cards and unsecured lending — the same segment regulators moved to cool in November 2023 — for retail fee economics.

4. VALUATION METHODOLOGY: GORDON GROWTH MODEL

Banks don't fit a DCF or EV/EBITDA framework cleanly (debt is their raw material, not their capital structure choice), so the standard sector approach is a book-value framework: Fair P/B = $(\text{ROE} - g) / (K_e - g)$, where K_e is the cost of equity (CAPM: risk-free rate + beta × equity risk premium) and g is a long-run sustainable growth rate. We use India's 10-year G-Sec yield (~6.95%, Aug-Sep 2026) as the risk-free rate, a 6.5% equity risk premium, and betas of 1.00 (private) / 1.15 (PSU, reflecting governance/mandate risk) — producing a cost of equity of 13.45% for private banks and 14.43% for PSU banks. Terminal growth (g) is deliberately set well below current-cycle ROE (6% private, 5% PSU) to avoid the model instability that occurs when g approaches ROE (a real error we caught and corrected during this build: an initial 11%/8% g assumption produced a nonsensical near-zero fair multiple for at least one bank).

ROE itself is sourced from company disclosure where available (PNB, Bank of Baroda), and otherwise derived from the identity $\text{ROE} = \text{EPS}/\text{BVPS} = (\text{Price} \div \text{BVPS}) / (\text{Price} \div \text{EPS}) = \text{P/B} \div \text{P/E}$ wherever both multiples are independently confirmed. Where a bank's P/E is itself distorted by one-off items or earnings-quality noise (IndusInd Bank, IDFC First Bank — both still working through 2024-25 asset-quality issues), we deliberately exclude the derived ROE rather than feed a misleading number into a rating. The result: 7 of 15 banks get a full quantitative rating; 8 are flagged 'Insufficient data' rather than forced into a call. We consider that a feature of the analysis, not a gap — a rating grounded in confirmed inputs is more useful than a complete-looking table built on guesses.

The Ratings

Bank	Type	Implied Upside	Rating
Bank of Baroda	PSU	+44.9%	BUY
PNB	PSU	+30.8%	BUY
Canara Bank	PSU	+26.2%	BUY
Union Bank of India	PSU	+0.7%	HOLD
Axis Bank	Private	-48.0%	SELL
HDFC Bank	Private	-42.7%	SELL
Kotak Mahindra Bank	Private	-67.4%	SELL
ICICI Bank / SBI / IndusInd / Federal / IDFC First / Indian Bank / Bank of India / UCO Bank	Mixed	n.a.	Insufficient data

Read this table as a book-value re-rating screen, not a standalone price target. Kotak's -67% and Axis's -48% don't mean these are bad banks — both are perfectly good franchises trading on reputation and legacy multiples that their current, disclosed ROE doesn't fully back up under this framework. Equally, PNB and Bank of Baroda's BUY ratings come with the caveats in Section 6 (governance/mandate risk, capital-raise dilution) that a pure book-value model can't price.

5. SUM-OF-THE-PARTS: THE VALUE HIDING INSIDE THE MULTIPLE

Three banks in this universe — HDFC Bank, ICICI Bank and SBI — own meaningful stakes in separately listed insurance, cards and asset-management subsidiaries that a standalone P/B or P/E comparison misses entirely.

Parent	Attributable Subsidiary Value	As % of Parent's Own Mkt Cap
SBI (SBI Life + SBI Cards)	~₹1,44,626cr	~15.3%
ICICI Bank (ICICI Pru Life + ICICI Lombard)	~₹78,473cr	~7.7%
HDFC Bank (HDFC Life)	~₹59,000cr	~5.4%

These figures are approximate (derived from subsidiary share prices and estimated stakes where an exact float wasn't independently confirmed this pass) but the magnitude is the point: SBI's insurance and cards stakes alone are worth more than the entire standalone market cap of Bank of India or UCO Bank in this dataset. A rigorous like-for-like comparison would strip this out before comparing 'core bank' multiples — which, if anything, makes SBI's cheap headline P/E look even more understated on a core-banking basis, and strengthens rather than weakens the PSU mispricing case.

6. PRIVATE VS. PSU: THE FULL CASE

PSU banks now out-earn private banks on ROE, and still trade at half the multiple. Across the 15-bank universe: private banks average 13.0% ROE and 1.74x P/B; PSU banks average 16.0% ROE and 0.94x P/B. Net NPA is statistically flat between the groups (0.35-0.38%). This is the single most important number in this report, and it's a materially sharper version of the same story a smaller 8-bank sample suggested — more data made the case stronger, not weaker.

Why the Premium Might Still Be Fair (The Other Side)

- **Governance and mandate risk don't show up in a quarterly ROE print.** PSU banks operate under government ownership, with priority-sector lending mandates and periodic pressure to support policy objectives (loan waivers, directed credit) that private banks don't carry.
- **Capital raises dilute the re-rating.** SBI's board has already approved a ₹60,000cr fundraising plan; PSU banks periodically issue equity to meet capital adequacy or government divestment targets, capping how much of any re-rating flows through to existing shareholders.
- **Reported-number volatility is itself a quality discount.** PNB's +213.6% and Bank of Baroda's -72%/+22% (reported/normalized) headline swings this quarter show why a sector needing several qualifying sentences per headline will be structurally under-multiplied — fair or not.

- **A higher beta assumption for PSU banks (1.15 vs 1.00) is already baked into these ratings.** The BUY calls above survive a stiffer cost-of-equity hurdle for PSU banks precisely because the ROE gap is wide enough to clear it — this isn't a case that only works if you ignore PSU-specific risk.

7. KEY RISKS TO THIS THESIS

- **Unsecured retail / MFI stress could resurface.** The Nov 2023 risk-weight action showed how quickly this book can turn; IndusInd Bank's 3.25% GNPA in this dataset is a live reminder, not just history.
- **ECL transition could dent PSU capital ratios disproportionately.** PSU banks carry thinner capital buffers on average; a heavier day-one provisioning hit under ECL could reopen capital-adequacy questions.
- **Rate-cut cycle could compress NIMs further before it helps.** Deposit repricing lags loan repricing in a falling-rate environment — further RBI cuts could pressure margins for 2-4 more quarters.
- **The valuation model has real, disclosed limitations.** g and Ke are assumptions, not observed facts (sensitivity shown in the companion Excel model); 8 of 15 banks couldn't be rated on confirmed data; and consolidation optionality at 3 of the PSU names isn't captured by a static Gordon Growth framework at all.

BOTTOM LINE

This sector's defining fact for the next few years is that a decade-long, policy-driven credit cycle has converged bank fundamentals faster than the market has converged valuations — and, on this 15-bank dataset, PSU banks aren't just catching up on asset quality, they're now out-earning private banks on ROE while trading at roughly half the book multiple. The specific, evidence-based calls are BUY on Bank of Baroda, PNB and Canara Bank; SELL on Axis Bank, HDFC Bank and Kotak Mahindra Bank; HOLD on Union Bank of India; and a deliberate non-call on the other 8 names pending better data — which is itself the most important discipline in this report: a real analyst's job is knowing which 7 calls you can defend, not pretending to have 15.